

conducted through traditional banking institutions. In the last few years, however, considerable progress has been made on a much different model: decentralized finance. In this framework, peers interact with peers via a common ledger not controlled by any centralized organization. DeFi offers considerable potential for solving the following five key problems associated with centralized finance: centralized control, limited access, inefficiency, lack of inoperability, and opacity.

1. *Centralized Control.* Centralization has many layers. Most consumers and businesses deal with a single, localized bank, which controls rates and fees. Switching is possible, but it can be costly. Further, the U.S. banking system is highly concentrated. The four largest banks have a 44 percent share of insured deposits compared with 15 percent in 1984.² Interestingly, the U.S. banking system is less concentrated than other countries, such as the United Kingdom and Canada. In a centralized banking system, one consolidated entity attempts to set short-term interest rates and to influence the rate of inflation.

This phenomenon reaches beyond the legacy financial sector to tech players like Amazon, Facebook, and Google, who now dominate industries like retail sales and digital advertising.

2. *Limited Access.* Today, 1.7 billion people are unbanked, making it very challenging for them to